FIDIC CONDITIONS OF CONTRACRT SUMMARY

The first five clauses of the FIDIC 1987 4th Edition contract outline the basic rules and structure of the agreement for civil engineering construction projects. Here's a simplified explanation:

1. Definitions and Interpretation

This clause defines key terms and rules for interpreting the contract.

Sub-clauses:

1.1 **Definitions** – Defines terms like Employer (project owner), Contractor (builder), Engineer (project supervisor), and Contract (the legal agreement).
1.2 **Headings and Marginal Notes** – Headings are only for reference and do not affect interpretation.
1.3 **Interpretation** – Words include both singular and plural forms.
1.4 **Singular and Plural** – Words used in singular also mean plural, and vice versa.
1.5 **Notices, Consents, Approvals, Certificates, and Determinations** – All approvals and notices must be in writing.

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2. Engineer and Engineer's Representative

This clause explains the authority of the Engineer, who manages the project.

Sub-clauses:

2.1 **Engineer's Duties and Authority** – The Engineer supervises the project and has authority but cannot change contract obligations.
2.2 **Engineer's Representative** – The Engineer can appoint a representative to help with duties.
2.3 **Engineer's Authority to Delegate** – The Engineer can delegate tasks but remains responsible.
2.4 **Appointment of Assistants** – The Engineer can appoint assistants, but they have limited authority.
2.5 **Instructions in Writing** – Any instructions given by the Engineer must be in writing.
2.6 **Engineer to Act Impartially** – The Engineer must be fair when making decisions.

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3. Assignment and Subcontracting

This clause regulates transferring or subcontracting work.

Sub-clauses:

3.1 **Assignment of Contract** – The Contractor cannot transfer the contract without Employer's approval.

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4. Subcontracting

This clause covers rules for subcontracting parts of the work.

Sub-clauses:

4.1 **Subcontracting** – The Contractor cannot subcontract the entire work but can subcontract parts with the Engineer's permission.
4.2 **Assignment of Subcontractors' Obligations** – If a subcontractor has a long-term responsibility, the Contractor must transfer it to the Employer when required.

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5. Contract Documents

This clause explains the official documents forming the contract.

Sub-clauses:

5.1 **Language and Law** – Specifies the contract's official language and the country's legal system used.
5.2 **Priority of Contract Documents** – If there's a conflict, the order of importance is:

1. Contract Agreement
2. Letter of Acceptance
3. Contractor's Tender
4. Part II Conditions
5. Part I Conditions
6. Other documents

Where You Can Use This Contract:

- **For large construction projects** like highways, bridges, and infrastructure.
- **When working with international contractors** to ensure clarity and fairness.
- **When needing clear project roles** between the Employer, Contractor, and Engineer.
- **For projects requiring structured dispute resolution** methods.

6. Custody and Supply of Drawings and Documents

This clause defines the handling of project drawings and documents.

Sub-clauses:

6.1 **Custody and Supply of Drawings and Documents** – The Engineer keeps the original drawings, and the Contractor gets two copies. Additional copies must be paid for by the Contractor.
6.2 **One Copy of Drawings to be Kept on Site** – The Contractor must always have one copy of the drawings on-site for reference.
6.3 **Disruption of Progress** – If the Contractor needs additional drawings or instructions and does not receive them on time, they must notify the Engineer.
6.4 **Delays and Cost of Delay of Drawings** – If a delay occurs due to missing drawings or instructions from the Engineer, the Contractor may get extra time and cost compensation.
6.5 **Failure by Contractor to Submit Drawings** – If the delay is caused by the Contractor's failure to submit required documents, they will not be compensated.

7. Supplementary Drawings and Instructions

This clause allows the Engineer to issue additional drawings or instructions as needed.

Sub-clauses:

7.1 **Supplementary Drawings and Instructions** – The Engineer can issue additional instructions or drawings for proper execution of the work, and the Contractor must follow them.
7.2 **Permanent Works Designed by Contractor** – If the Contractor is responsible for design, they must submit it to the Engineer for approval before execution.
7.3 **Responsibility Unaffected by Approval** – The Engineer's approval of the Contractor's design does not remove the Contractor's responsibility for errors.

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8. General Obligations of the Contractor

This clause defines the Contractor's responsibilities for execution of the work.

Sub-clauses:

8.1 **Contractor's General Responsibilities** – The Contractor must complete the project with skill, care, and in compliance with the contract.
8.2 **Site Operations and Methods of Construction** – The Contractor is responsible for safety and stability of site operations. If they design any part of the permanent works, they are fully responsible for it.

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9. Contract Agreement

This clause covers the official signing of the contract.

Sub-clause:

9.1 **Contract Agreement** – If required, both the Employer and Contractor must sign an official contract document.

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10. Performance Security

This clause deals with financial guarantees to ensure contract completion.

Sub-clauses:

10.1 **Performance Security** – If required, the Contractor must provide a financial guarantee (like a bank guarantee) within 28 days of the Letter of Acceptance.
10.2 **Period of Validity of Performance Security** – The guarantee remains valid until all works are completed, including defect corrections.
10.3 **Claims under Performance Security** – The Employer must notify the Contractor before making a claim on the guarantee due to contract default.

Where You Can Use These Clauses:

- **For structured project documentation** – Ensures proper handling of drawings and instructions.
- **For projects requiring Contractor's design** – Defines approval processes.
- **For contract enforcement** – Helps ensure the Contractor fulfills obligations.
- **For financial security** – Protects Employers from project failures.

11. Inspection of Site

This clause defines the Contractor's responsibility to inspect the project site before and during construction.

Sub-clause:

11.1 **Inspection of Site** – The Employer provides available site data (e.g., soil conditions), but the Contractor is responsible for interpreting it and inspecting the site before bidding.

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12. Sufficiency of Tender

This clause ensures the Contractor fully understands the project scope before submitting their bid.

Sub-clauses:

12.1 **Sufficiency of Tender** – The Contractor is responsible for ensuring that their tender (bid) includes all necessary costs, risks, and work requirements.
12.2 **Not Foreseeable Physical Obstructions or Conditions** – If the Contractor encounters unexpected site conditions (not foreseeable by an experienced contractor), they must notify the Engineer. The Engineer may grant extra time or cost compensation.

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13. Work to be in Accordance with Contract

This clause ensures all work follows the contract terms.

Sub-clause:

13.1 **Work to be in Accordance with Contract** – The Contractor must execute all work strictly as per the contract and follow all instructions from the Engineer.

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14. Programme to be Submitted

This clause requires the Contractor to submit a construction schedule.

Sub-clauses:

14.1 **Programme to be Submitted** – Within a specified period (stated in Part II), the Contractor must submit a work schedule (programme) for approval by the Engineer.
14.2 **Revised Programme** – If work is delayed, the Contractor must submit an updated schedule.

14.3 **Cash Flow Estimate to be Submitted** – The Contractor must provide a quarterly estimate of expected payments under the contract.
14.4 **Contractor Not Relieved of Duties or Responsibilities** – Approval of the programme does not relieve the Contractor of their obligations.

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15. Contractor's Superintendence

This clause ensures proper management and supervision of the work.

Sub-clause:

15.1 **Contractor's Superintendence** – The Contractor must provide competent supervisors who manage the project full-time. The Engineer can reject an unsuitable supervisor.

Where You Can Use These Clauses:

- **For project planning** – Ensures work schedules and cash flow planning.
- **For risk management** – Addresses unforeseeable site conditions.
- **For contract enforcement** – Ensures work follows contract terms.
- **For project supervision** – Mandates competent site management.

16. Contractor's Employees

This clause covers the qualifications and responsibilities of workers on-site.

Sub-clauses:

16.1 **Contractor's Employees** – The Contractor must employ skilled and competent workers for all tasks.
16.2 **Engineer at Liberty to Object** – The Engineer can require the Contractor to remove any worker deemed incompetent, negligent, or unsuitable.

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17. Setting-Out

This clause ensures the Contractor is responsible for accurate positioning of works.

Sub-clause:

17.1 **Setting-Out** – The Contractor must correctly position the works using reference points provided by the Engineer. If an error occurs, the Contractor must fix it at their own cost unless it was caused by incorrect data from the Engineer.

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18. Boreholes and Exploratory Excavation

This clause allows the Engineer to request additional site investigations.

Sub-clause:

18.1 **Boreholes and Exploratory Excavation** – If the Engineer requires additional site investigation (e.g., boreholes), the Contractor must carry it out, and additional costs may be compensated unless already included in the contract.

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19. Safety, Security, and Protection of the Environment

This clause outlines the Contractor's obligations to ensure safety and environmental protection.

Sub-clauses:

19.1 **Safety, Security, and Protection of the Environment** – The Contractor must:

- Keep the site safe for workers and the public.
- Provide safety measures (e.g., fencing, warning signs).
- Minimize environmental damage, including pollution and noise.
  19.2 **Employer's Responsibilities** – If the Employer's workers or other contractors work on-site, the Employer must ensure their safety.

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20. Care of Works

This clause explains the Contractor's responsibility for protecting the works before completion.

Sub-clauses:

20.1 **Care of Works** – The Contractor is responsible for the works and materials until the Engineer issues the Taking-Over Certificate.
20.2 **Responsibility to Rectify Loss or Damage** – If any damage occurs before completion (except for specified risks), the Contractor must fix it at their own cost.
20.3 **Loss or Damage Due to Employer's Risks** – If damage is caused by risks outside the Contractor's control (e.g., war, natural disasters), the Engineer may approve additional compensation.
20.4 **Employer's Risks** – Lists risks the Employer is responsible for, including war, rebellion, radiation hazards, and force majeure.

Where You Can Use These Clauses:

- **For workforce management** – Ensures skilled labor and allows the Engineer to remove unsuitable workers.
- **For accurate construction** – Ensures proper positioning of structures.
- **For risk management** – Covers unexpected site conditions and damage responsibility.
- **For safety compliance** – Mandates security and environmental protection.

21. Insurance of Works and Contractor's Equipment

This clause ensures the Contractor insures the works and equipment against damage.

Sub-clauses:

21.1 **Insurance of Works and Contractor's Equipment** – The Contractor must insure:

- The works and materials for full replacement cost.
- Additional costs like demolition and removal of debris.
- Contractor's equipment used for construction.
  21.2 **Scope of Cover** – The insurance must cover all risks except specified exclusions.
  21.3 **Responsibility for Amounts Not Recovered** – If an insurance claim does not cover all damages, costs are shared as per responsibilities under Clause 20.
  21.4 **Exclusions** – Insurance does not cover damages caused by war, rebellion, nuclear hazards, or supersonic aircraft pressure waves.

PWD Example:

In **PWD contracts**, the Contractor is required to take out **Contractor's All-Risk (CAR) Insurance**, which covers:

- Damage to the works due to fire, flood, or accidents.
- Third-party liability (damage to surrounding property or injury to non-workers).
- Damage to construction equipment.

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22. Damage to Persons and Property

This clause protects the Employer from liability for accidents and property damage.

Sub-clauses:

22.1 **Contractor's Liability for Damage** – The Contractor must compensate for:

- Death or injury to any person.
- Damage to any property (excluding the works).
  22.2 **Exceptions** – The Contractor is **not** liable if the damage is caused by:
- The Employer's use of the completed works.
- The Employer's own workers or third parties.
  22.3 **Indemnity by Employer** – If the damage is due to the Employer's actions, the Employer must compensate the Contractor.

PWD Example:

In **PWD contracts**, the Contractor must follow **Labour Laws** and **Factories Act** to ensure worker safety. For example, if a worker falls from scaffolding due to lack of safety gear, the **Contractor is responsible** for medical expenses and compensation.

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23. Third-Party Insurance (Including Employer's Property)

This clause ensures insurance coverage for third-party damages.

Sub-clauses:

23.1 **Third-Party Insurance** – The Contractor must insure against:

- Injury to third parties.
- Damage to third-party property (including the Employer's buildings).

23.2 **Minimum Amount of Insurance** – The insurance coverage must meet the limit stated in the contract.
23.3 **Cross Liabilities** – The insurance must treat the Employer and Contractor as separate insured parties.

PWD Example:

In **PWD contracts**, if construction damages a nearby house, the Contractor's insurance must cover repairs.

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24. Accident or Injury to Workmen

This clause ensures compensation for injured workers.

Sub-clauses:

24.1 **Liability for Workmen's Injury** – The Employer is **not responsible** for worker injuries unless caused by their negligence.
24.2 **Insurance Against Accidents** – The Contractor must provide **Workmen's Compensation Insurance** for all employees.

PWD Example:

Under **PWD contracts**, the Contractor must register workers under the **Employees' State Insurance (ESI) Act**.
For example, if a laborer is injured due to falling debris, the **ESI scheme pays for medical care and compensation**.

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25. Evidence and Terms of Insurances

This clause ensures the Contractor provides proof of insurance.

Sub-clauses:

25.1 **Proof of Insurance** – The Contractor must show proof of insurance **before work begins**.
25.2 **Adequacy of Insurances** – The Contractor must update insurance coverage if the project scope changes.
25.3 **Failure to Insure** – If the Contractor does not obtain insurance, the Employer can take out insurance and deduct the cost from payments.
25.4 **Compliance with Policy Conditions** – If the Contractor or Employer **violates** insurance terms, they must cover any resulting losses.

PWD Example:

In **PWD contracts**, before starting work, the Contractor must submit a **copy of the insurance policy** to the PWD Engineer-in-Charge.

26. Compliance with Statutes, Regulations

This clause ensures the Contractor follows all relevant laws and regulations.

Sub-clause:

26.1 **Compliance with Laws** – The Contractor must:

- Follow national and local laws, including safety, labor, and environmental regulations.
- Pay all necessary fees and obtain required permits.
- The Employer is responsible for obtaining zoning or planning approvals.

PWD Example:

In **PWD contracts**, the Contractor must comply with the **Building and Other Construction Workers Act**. For example, they must provide safety equipment and proper working conditions. If they fail, the PWD can impose penalties.

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27. Fossils and Antiquities

This clause explains what happens if historical artifacts or fossils are found during construction.

Sub-clause:

27.1 **Discovery of Fossils or Artifacts** –

- Any fossils, coins, or antiquities found on-site belong to the Employer.
- The Contractor must **immediately notify the Engineer** and stop work in that area.
- The Engineer will decide how to proceed, and the Contractor may get extra time and cost compensation if work is delayed.

PWD Example:

If excavation for a road project reveals **ancient pottery**, the PWD requires work to stop and the **Archaeological Department** to be informed. The Contractor can claim extra time if delays occur.

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28. Patent Rights

This clause protects the Employer from legal issues related to patents.

Sub-clauses:

28.1 **Protection Against Patent Claims** –

- The Contractor must ensure that materials and equipment used do not violate patents.

- If a legal claim arises due to patent infringement, the Contractor must handle it.
  28.2 **Royalties** – The Contractor must pay any royalties for using patented materials or processes.

PWD Example:

If a Contractor uses a **proprietary concrete mix design** without permission from the patent holder, they are responsible for legal claims and penalties.

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29. Interference with Traffic and Adjoining Properties

This clause ensures construction work does not disrupt the public unnecessarily.

Sub-clause:

29.1 **Minimizing Public Inconvenience** –

- The Contractor must **avoid unnecessary roadblocks** and maintain traffic flow.
- If damage occurs to private property, the Contractor must compensate the owner.

PWD Example:

For **PWD road projects**, the Contractor must ensure **one lane remains open** for traffic. If a shop owner claims damage to their storefront, the Contractor must repair it.

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30. Avoidance of Damage to Roads

This clause ensures roads and bridges used for transporting materials are protected.

Sub-clauses:

30.1 **Preventing Road Damage** – The Contractor must use proper vehicles and avoid overloading.
30.2 **Strengthening Roads for Heavy Equipment** – If roads are weak, the Contractor must strengthen them or use alternative routes.
30.3 **Responsibility for Transport Damage** – If damage occurs, the Contractor must inform the Engineer. If caused by normal transport, the Employer may compensate.
30.4 **Waterborne Transport** – If materials are transported via **rivers or canals**, similar rules apply to docks and water structures.

PWD Example:

For **PWD bridge construction**, if trucks carrying **heavy concrete beams** damage a village road, the Contractor must either repair it or compensate the local authorities.

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31. Opportunities for Other Contractors

This clause ensures that multiple contractors working on a project can cooperate.

Sub-clauses:

31.1 **Cooperation with Other Contractors** –

- The Contractor must allow **other contractors** working on related projects to access the site.
  31.2 **Shared Resources** – If requested by the Engineer, the Contractor must share **temporary roads, utilities, or storage areas** with others.
- The Contractor may be compensated if this increases their costs.

PWD Example:

For a **PWD highway project**, one Contractor may be responsible for **pavement construction** while another installs **streetlights**. Both must coordinate and share access roads.

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32. Contractor to Keep Site Clear

This clause ensures the site remains organized and safe.

Sub-clause:

32.1 **Regular Site Cleanup** –

- The Contractor must remove **waste materials, unused equipment, and debris** regularly.

PWD Example:

For **PWD building projects**, the Contractor must keep the site **clear of scrap materials and construction waste** to ensure safety and prevent project delays.

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33. Clearance of Site on Completion

This clause ensures the site is cleaned up after project completion.

Sub-clause:

33.1 **Final Site Clearance** –

- After completion, the Contractor must **remove all temporary works, equipment, and waste** before handing over the project.
- Some materials may remain on-site for maintenance during the **Defects Liability Period**.

PWD Example:

For **PWD water supply projects**, after pipeline installation, the Contractor must **remove temporary sheds and leftover pipes** before the final payment is processed.

Where You Can Use These Clauses:

- **For legal compliance** – Ensures Contractors follow laws, regulations, and safety standards.
- **For protecting historical sites** – Provides procedures if artifacts are discovered.
- **For managing public disruption** – Prevents unnecessary inconvenience to traffic and property owners.
- **For road safety** – Ensures roads used for material transport are protected.
- **For project cooperation** – Allows multiple Contractors to work efficiently on related tasks.

34. Engagement of Staff and Labour

This clause ensures the Contractor hires workers and staff responsibly.

Sub-clause:

34.1 **Engagement of Staff and Labour** –

- The Contractor is responsible for hiring workers and staff, including their wages, housing, food, and transport.
- The Contractor must follow labor laws and employment regulations.

PWD Example:

For **PWD road projects**, the Contractor must hire local labor as per government policies and provide basic amenities like drinking water and rest areas.

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35. Returns of Labour and Contractor's Equipment

This clause requires the Contractor to provide workforce and equipment details.

Sub-clause:

35.1 **Labour and Equipment Reports** –

- The Contractor must submit reports on the **number of workers, types of labor, and equipment used** at the site when requested by the Engineer.

PWD Example:

For **PWD bridge construction**, the Engineer may ask for a list of **concrete mixers, cranes, and skilled masons** working on-site.

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36. Materials, Plant, and Workmanship

This clause ensures that construction materials and methods meet quality standards.

Sub-clauses:

36.1 **Quality of Materials and Workmanship** –

- The Contractor must use **approved materials** and follow **Engineer's instructions**.
  36.2 **Cost of Samples** – The Contractor must provide material samples for testing at their own cost.
  36.3 **Cost of Tests** – The Contractor must bear the cost of standard tests included in the contract.
  36.4 **Cost of Additional Tests** – If the Engineer requests extra tests beyond contract requirements, the Contractor may be compensated if materials pass.
  36.5 **Engineer's Determination of Additional Costs** – The Engineer decides if extra testing costs should be paid by the Employer.

PWD Example:

For **PWD road projects**, asphalt samples must be tested in a **government-approved lab** before use. If the Engineer orders extra tests, the Contractor can claim compensation if materials meet standards.

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37. Inspection and Testing

This clause allows the Engineer to inspect and test construction materials and methods.

Sub-clauses:

37.1 **Right of Inspection** – The Engineer can inspect any part of the work at any time.
37.2 **Inspection of Materials and Plant** – The Engineer can inspect materials at **factories, workshops, or on-site** before they are used.
37.3 **Dates for Inspection and Testing** – The Contractor must notify the Engineer before tests take place.
37.4 **Rejection of Defective Materials** – If the Engineer finds defective materials, they must be replaced.
37.5 **Independent Inspection** – The Engineer can appoint an independent inspector for testing.

PWD Example:

For **PWD water supply projects**, the Engineer may inspect **pipes and valves at the factory** before delivery to ensure quality.

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38. Examination of Work Before Covering Up

This clause ensures that important structural work is checked before being hidden.

Sub-clauses:

38.1 **Approval Before Covering Work** – The Contractor must inform the Engineer before covering any structural work (e.g., foundations).
38.2 **Uncovering and Making Openings** – If the Engineer needs to inspect hidden work, the Contractor must reopen it. If the work is done correctly, the Employer pays for reopening costs.

PWD Example:

For **PWD building projects**, the Engineer may inspect **steel reinforcement in concrete slabs** before they are poured. If the Contractor covers it without approval, they must break and redo the work.

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39. Removal of Improper Work, Materials, or Plant

This clause allows the Engineer to remove poor-quality work or materials.

Sub-clause:

39.1 **Engineer's Authority to Remove Defective Work** –

- The Engineer can **order the removal of defective materials or work** at any time.
- The Contractor must replace them at their own cost.

PWD Example:

For **PWD highway projects**, if the Engineer finds **low-grade cement** being used, the Contractor must replace it immediately.

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40. Suspension of Work

This clause allows the Engineer to suspend work if needed.

Sub-clauses:

40.1 **Suspension by Engineer** – The Engineer can order the work to be **temporarily stopped** due to safety, design changes, or other reasons.
40.2 **Contractor's Right to Compensation** – If suspension causes delays or additional costs, the Contractor may be compensated.
40.3 **Suspension Exceeding 84 Days** – If work is stopped for over 84 days, the Contractor can request permission to resume or terminate the contract.

PWD Example:

For **PWD flyover projects**, if an **unapproved design issue** is found, work may be suspended until a revised plan is approved. If the delay is not the Contractor's fault, they can claim compensation.

41. Commencement of Works

This clause defines when the Contractor should start work.

Sub-clause:

41.1 **Commencement Date** –

- The Contractor must begin work on the date specified in the **Engineer's Notice to Proceed**.
- Any delay in starting work without approval may result in penalties.

PWD Example:

In **PWD road projects**, the Engineer issues a **Work Order** after signing the contract. If the Contractor does not begin work within 15 days, penalties may be applied.

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42. Possession of Site and Access Thereto

This clause ensures the Employer provides access to the site for construction.

Sub-clauses:

42.1 **Employer to Provide Site Access** – The Employer must give the Contractor access to the site as per the contract.
42.2 **Failure to Give Possession** – If access is delayed, the Contractor may get extra time and compensation.
42.3 **Rights of Way and Facilities** – The Employer must provide **legal rights to access** roads, water, and power for the Contractor.

PWD Example:

In **PWD bridge projects**, if land acquisition is delayed, the Contractor can claim compensation for idle machinery and staff costs.

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43. Time for Completion

This clause sets the deadline for project completion.

Sub-clause:

43.1 **Time for Completion** –

- The Contractor must complete the work within the agreed timeframe.
- If the Contractor delays without valid reasons, they may face penalties.

PWD Example:

In **PWD building projects**, the contract may specify **12 months for completion**. If the work is not finished on time, the Contractor may be penalized.

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44. Extension of Time for Completion

This clause allows for an extension of the deadline under certain conditions.

Sub-clauses:

44.1 **Conditions for Extension** – The Contractor can request an extension if delays are caused by:

- Changes in design.
- Late approvals.
- Unforeseen conditions (e.g., heavy rainfall, labor strikes).
  44.2 **Contractor to Provide Notification** – The Contractor must **inform the Engineer in writing** when delays occur.
  44.3 **Interim Determination of Extension** – The Engineer can grant an extension based on preliminary assessment.

PWD Example:

In **PWD road projects**, if heavy monsoon rains delay work, the Contractor may get **3 months extra** without penalties.

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45. Restriction on Working Hours

This clause limits working hours for safety and public convenience.

Sub-clause:

45.1 **Working Hours Restrictions** –

- The Contractor must follow **local labor laws** regarding work hours.
- The Engineer may restrict night work or holiday work.

PWD Example:

In **PWD urban projects**, road construction may be allowed **only at night** to reduce traffic disruption.

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46. Rate of Progress

This clause ensures that work is completed on time.

Sub-clause:

46.1 **Maintaining Work Progress** –

- The Contractor must follow the **agreed construction schedule**.
- If progress is slow, the Engineer can instruct corrective measures.

PWD Example:

For **PWD highway projects**, if only **20% of the road is completed in 6 months (instead of 50%)**, the Engineer can demand faster progress.

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47. Liquidated Damages for Delay

This clause penalizes Contractors for delays.

Sub-clauses:

47.1 **Penalty for Late Completion** –

- The Employer can deduct a fixed amount per day if the Contractor **misses the deadline**.
  47.2 **Reduction of Liquidated Damages** –
- If the Contractor completes part of the work, penalties may be reduced.

PWD Example:

In **PWD contracts**, if a Contractor delays a **flyover project by 30 days**, they may be charged **₹10,000 per day** as a penalty.

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48. Taking-Over Certificate

This clause certifies that work is completed.

Sub-clauses:

48.1 **Certificate of Completion** –

- When the project is completed, the Engineer issues a **Taking-Over Certificate**.
  48.2 **Partial Completion** –
- The Employer can take over **completed sections** while others are still under construction.
  48.3 **Surfaces Requiring Reinstatement** –
- If final touches (e.g., painting, road markings) are incomplete, the Contractor must finish them.

PWD Example:

For **PWD road projects**, if **75% of the road is ready**, traffic may be allowed on completed sections while finishing work continues.

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49. Defects Liability

This clause ensures the Contractor repairs defects after completion.

Sub-clauses:

49.1 **Defects Liability Period** –

- The Contractor must fix defects for a **specified period** (e.g., 12 months).
  49.2 **Completion of Outstanding Work** –
- Any pending minor work must be completed before the **final payment**.
  49.3 **Cost of Repairs** –
- The Contractor must repair defects **at their own cost** unless caused by Employer actions.
  49.4 **Failure to Carry Out Repairs** –
- If the Contractor does not fix defects, the Employer can **hire another Contractor** and deduct the cost.

PWD Example:

For **PWD drainage projects**, if a pipeline **leaks within 6 months**, the Contractor must repair it for free.

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50. Contractor to Search

This clause requires the Contractor to investigate defects.

Sub-clause:

50.1 **Investigation of Defects** –

- If a defect appears, the Contractor must **identify the cause and fix it**.

PWD Example:

For **PWD bridge projects**, if cracks appear in a **concrete slab**, the Contractor must determine whether the cause is **poor materials or incorrect curing**.

Clause 51 and its sub-clauses in the FIDIC 1987 (4th Edition) contract deal with **Variations**, which refer to changes made to the original contract scope. These changes could be in terms of design, quantity, quality, or sequence of work.

Key Points of Clause 51: Variations

1. **Authority to Vary (51.1)** – The **Engineer** has the right to issue instructions to the contractor for variations in the work. This can include changes in:
    - The quantity or quality of work
    - The character or kind of materials
    - The levels, lines, or positions of the work
    - The sequence or timing of execution
2. **Instructions for Variations (51.2)** – Variations must be instructed **in writing** by the Engineer. If the Contractor considers an instruction to be a variation but hasn't received written confirmation, they must notify the Engineer, who will decide if it is a variation.

Where Can Clause 51 Be Used? (Example from PWD - Public Works Department)

Clause 51 is useful in **government construction projects** when changes are needed due to unforeseen circumstances, design improvements, or regulatory requirements.

Example: Road Construction in PWD

A **Public Works Department (PWD)** contracts a company to build a **20 km road**. Halfway through the project, the government decides to add an extra lane for traffic flow improvement. The PWD Engineer:

- Issues a **variation order** under **Clause 51.1** to modify the scope of work.
- Ensures it is **in writing** under **Clause 51.2**, so the contractor can claim additional costs and time if necessary.
- Uses **Clause 52** (valuation of variations) to determine how much extra payment should be given to the contractor.

Clause 52: Valuation of Variations

1. **Valuation Methods (52.1)**
    - If a variation is ordered, the work should be valued based on:
        - **Existing contract rates** (if applicable).
        - **New rates** agreed upon between the contractor and engineer if the variation is outside the contract's scope.
        - **Engineer's decision** if no agreement is reached.
2. **Engineer's Power to Fix Rates (52.2)**
    - If the contract does not cover a specific variation, the engineer has the authority to **fix fair and reasonable rates** after discussing them with the contractor.
3. **Variations Exceeding 15% of Contract Price (52.3)**

- If the total value of variations exceeds **15% of the original contract price**, the contractor can request a revision of rates. This helps adjust costs in case of **major changes** beyond initial estimates.

4. **Daywork (52.4)**
   - If the variation requires work that cannot be easily measured or valued, the engineer may order **daywork** (paying based on labor and materials used). The contractor must **keep records** and submit them for approval.

Where Can Clause 52 Be Used? (Example from PWD)

Example: PWD Bridge Construction

- A contractor is building a **PWD bridge** for **$10 million**.
- The engineer orders a **variation (Clause 51)** to **increase the bridge's width** for better traffic flow.
- The total cost of variations reaches **$1.8 million**, exceeding **15% of the contract price**.
- Under **Clause 52.3**, the contractor can **request rate adjustments** due to material cost increases.
- If no contract rates exist for **extra steel reinforcements**, the engineer **fixes new rates** under **Clause 52.2**.
- Some complex works are ordered as **daywork (Clause 52.4)**, where workers are paid per hour, and materials are reimbursed based on actual usage.

Clause 53: Procedure for Claims

Clause 53 sets out the steps a contractor must follow to **claim additional payment** for variations, delays, or unforeseen circumstances.

Key Sub-clauses

1. **Notice of Claims (53.1)**
   - The contractor **must notify** the engineer **as soon as possible** (within the time specified in Part II of the contract) if they believe they are entitled to extra payment.
   - The notice should explain the reason for the claim, such as:
     - **Variations ordered by the Engineer (Clause 51 & 52)**
     - **Unexpected site conditions (Clause 12.2 – Unforeseen Conditions)**
     - **Delays caused by the Employer**
2. **Contemporary Records (53.2)**
   - The contractor must **keep detailed records** (e.g., site logs, invoices, labor costs) to prove the claim.
   - The engineer has the right to **inspect these records** at any time.
3. **Substantiation of Claims (53.3)**
   - The contractor must submit a **formal claim document** with:
     - Detailed description of events.
     - Breakdown of costs.
     - Supporting records (photos, time sheets, receipts).
4. **Failure to Comply (53.4)**
   - If the contractor **fails to notify** the engineer or provide records **on time**, they may **lose their right to claim** extra payment.
5. **Payment of Claims (53.5)**
   - If the engineer approves the claim, the amount is **added to the contract price** and paid in the next interim payment certificate.

Where Can Clause 53 Be Used? (Example from PWD)

Example: Road Construction in PWD

- A **PWD contractor** is building a highway, and heavy rainfall causes **flooding** on-site, requiring extra drainage works.
- The contractor **notifies the engineer (53.1)** that the extra work will increase costs.
- They **keep records (53.2)** of extra workers, materials, and equipment used.
- They submit a **detailed claim (53.3)** with invoices for pumping water and building extra drainage.
- If they **fail to notify or provide records on time (53.4)**, the engineer may **reject the claim**.
- If approved, the additional cost is **paid under Clause 53.5**.

Clause 54: Contractor's Equipment, Temporary Works, and Materials

Clause 54 defines the ownership, responsibility, and usage of **construction equipment, temporary works, and materials** brought to the site by the contractor.

Key Sub-clauses

1. **Exclusive Use for the Works (54.1)**
   - Any **equipment, materials, or temporary works** brought to the site **must be used only for the project** unless the engineer gives permission for other use.
2. **Employer Not Liable for Damage (54.2)**
   - If any contractor's equipment or materials are damaged on-site (except due to employer's fault), the **contractor bears the risk and cost**.
3. **Customs Clearance (54.3)**
   - If the contractor imports machinery or materials, they are responsible for **customs duties and import formalities**.
4. **Re-export of Contractor's Equipment (54.4)**
   - After project completion, the contractor is responsible for removing and re-exporting any imported equipment, unless it is sold locally with permission.
5. **Conditions of Hire of Contractor's Equipment (54.5)**
   - If equipment is rented, the **contractor remains responsible** for it. The employer has **no liability** for lease agreements.
6. **Costs for the Purpose of Clause 63 (54.6)**
   - If the contract is **terminated under Clause 63 (Contractor's Default)**, the employer can **take over contractor's equipment** and deduct costs from payments due.
7. **Incorporation of Clause in Subcontracts (54.7)**
   - The contractor **must ensure subcontractors follow the same rules** regarding equipment and materials.
8. **Approval of Materials Not Implied (54.8)**
   - The **engineer's approval of materials** does not mean the employer **accepts responsibility** for their quality—this remains the **contractor's duty**.

Where Can Clause 54 Be Used? (Example from PWD)

Example: Bridge Construction in PWD

- A **PWD contractor** imports a **crane** for bridge construction.
- **Clause 54.3:** The contractor **handles customs clearance and taxes**.
- **Clause 54.1:** The crane **cannot be used** on another private project.

- **Clause 54.5:** If the crane is **rented**, the **contractor is responsible**, not PWD.
- **Clause 54.2:** If the crane is **damaged in a storm**, PWD **is not liable**.
- **Clause 54.6:** If the contract is **terminated due to contractor's failure**, PWD can **take over the crane** and recover costs.

Key Points of Clause 55

1. **Quantities (55.1)**
    - The contract **Bill of Quantities (BOQ)** includes estimated work quantities, but the final payment is based on **actual measured work**.

Clause 56: Works to be Measured

1. **Engineer's Responsibility (56.1)**
    - The engineer measures the work **on-site** to determine the correct quantity before approving payments.
    - The contractor must provide assistance (e.g., access, tools) for the measurement process.

Clause 57: Method of Measurement

1. **Following the Contract (57.1)**
    - Work is measured **as specified in the contract** (e.g., cubic meters for concrete, linear meters for pipes).
2. **Breakdown of Lump Sum Items (57.2)**
    - If a **lump sum** item exists in the BOQ (e.g., a full drainage system), the contractor must **provide a cost breakdown** for partial payments.

Where Can Clause 55-57 Be Used? (Example from PWD)

Example: Road Construction in PWD

- A **PWD contract** includes **100 km of road paving** at **$50,000 per km**.
- Due to design changes, only **95 km are completed**.
- **Clause 55.1:** The contractor is **paid only for 95 km**, not 100 km.
- **Clause 56.1:** The **engineer measures the road** before approving payments.
- **Clause 57.1:** The **measurement unit (km)** is used as per the contract.
- **Clause 57.2:** If the **contractor claims a lump sum** for additional work, they must **provide a breakdown** of costs for verification.

Clause 58: Provisional Sums

Clause 58 deals with **provisional sums**, which are **pre-allocated amounts** in the contract for works that are not fully defined at the time of bidding. These sums allow flexibility for **additional or unforeseen works**.

Key Points of Clause 58

1. **Definition of Provisional Sum (58.1)**
   - A **provisional sum** is an estimated amount included in the **Bill of Quantities (BOQ)** for work, materials, or services that may be required **but are not clearly defined** at the contract stage.
2. **Use of Provisional Sums (58.2)**
   - The **Engineer decides** if and how a provisional sum will be used.
   - The **Contractor cannot claim payment** for it unless the Engineer **issues an instruction** to carry out the work.
   - If work is ordered under a provisional sum, it is **valued as per Clause 52 (Valuation of Variations)**.
3. **Production of Vouchers (58.3)**
   - If a **subcontractor** is engaged using the provisional sum, the **contractor must provide vouchers, invoices, or cost records** to justify the expenses before payment is approved.

Where Can Clause 58 Be Used? (Example from PWD)

Example: Drainage Works in a PWD Road Project

- The **PWD contract** for a **highway project** includes a **$500,000 provisional sum** for **future drainage works**, as the **exact locations and requirements are unknown** during bidding.
- **Clause 58.2:** Once the project is underway, the Engineer **determines that additional drainage is required** and instructs the contractor to execute the work.
- **Clause 58.3:** The contractor **hires a drainage subcontractor** and must **submit invoices and records** before getting paid.

Clause 59: Nominated Subcontractors

Clause 59 governs situations where the employer (through the engineer) **selects and nominates** a subcontractor to carry out a specific part of the work, rather than allowing the main contractor to choose.

Key Points of Clause 59

1. **Definition of Nominated Subcontractors (59.1)**
   - A **nominated subcontractor** is one that the employer (or engineer) selects for a particular part of the work.
   - The main contractor **must engage** the nominated subcontractor unless they raise objections under **Clause 59.2**.
2. **Objection to Nomination (59.2)**
   - The main contractor **can object** to a nominated subcontractor if:
     - The subcontractor **is not technically capable**.
     - The subcontractor **refuses to accept standard contract conditions**.
     - The subcontractor **delays the project** due to financial or performance issues.
   - The engineer must **review and decide** on the contractor's objection.
3. **Design Requirements (59.3)**
   - If the nominated subcontractor is responsible for design, the **requirements must be clearly stated** in the contract.
4. **Payments to Nominated Subcontractors (59.4 & 59.5)**
   - The main contractor must **pay the subcontractor**, but the employer ensures payment by including it in the **contractor's payment certificates**.
   - If the contractor does not pay the subcontractor, the employer may **pay directly** and deduct it from the contractor's payments.

Where Can Clause 59 Be Used? (Example from PWD)

Example: Traffic Signals in a PWD Road Project

- PWD contracts a **main contractor** for road construction but wants **a specialized firm** to install **traffic signals**.
- **Clause 59.1:** The **PWD Engineer nominates** a specialist electrical company as a **subcontractor**.
- **Clause 59.2:** The main contractor objects, saying the subcontractor **has poor financial stability**.
- **Clause 59.4:** If the nomination is upheld, the **main contractor must pay** the subcontractor after receiving funds from PWD.
- **Clause 59.5:** If the main contractor **fails to pay**, PWD can **pay the subcontractor directly** and deduct the amount from the main contractor's payment.

Clause 60: Certificates and Payment

Clause 60 outlines how the contractor gets paid for completed work, including the process for submitting claims, receiving interim payments, and finalizing the contract price.

Key Points of Clause 60

1. **Monthly Statements (60.1)**
   - The contractor must submit a **monthly statement** detailing the work completed and materials delivered to the site.
2. **Monthly Payments (60.2)**
   - The engineer **reviews the statement**, certifies the amount due, and the employer pays the contractor.
   - Payments include completed work, materials on-site, and variations.
   - A percentage of payment is **retained** (retention money) until the project is completed.
3. **Payment of Retention Money (60.3)**
   - Retention money is **withheld** from each payment as security for defects.
   - Half of it is released **when the project is completed** and the rest **after the defects liability period**.
4. **Correction of Certificates (60.4)**
   - The engineer can **correct errors** in previous payments if mistakes are found.
5. **Statement at Completion (60.5)**
   - Once the contractor finishes the work, they must submit a **final statement** of accounts.
6. **Final Statement & Discharge (60.6 & 60.7)**
   - The contractor submits the **final statement** listing all work done and payments due.
   - After receiving the final payment, the contractor **confirms in writing** that they have no further claims.
7. **Final Payment Certificate (60.8)**
   - The engineer issues a **final certificate**, stating the total amount due.
   - After this, the employer has **no further financial obligations** except for outstanding claims.
8. **Cessation of Employer's Liability (60.9)**
   - The employer is no longer liable for payments **after the final certificate** is issued, except for unresolved claims.
9. **Time for Payment (60.10)**
   - Payments must be made **within the time stated in the contract**.
   - If delayed, the contractor may be entitled to **interest on late payments**.

Where Can Clause 60 Be Used? (Example from PWD)

Example: PWD Road Construction Payment Process

- A contractor completes **50% of a PWD highway** and submits a **monthly statement (60.1)**.
- The engineer verifies the work and **issues a payment certificate (60.2)**.
- PWD pays the contractor but **holds back 10% retention money (60.3)**.
- If an error is found in a past payment, the engineer **corrects it (60.4)**.
- After completing the project, the contractor submits a **final statement (60.5)**.
- The engineer **issues the final certificate (60.8)**, and the contractor **confirms no further claims (60.7)**.
- If PWD **delays payment (60.10)**, the contractor may claim **interest for late payment**.

Clause 61: Approval Only by Defects Liability Certificate

This clause ensures that the contractor's work is **not considered fully complete** until the **Defects Liability Certificate** is issued.

Key Points of Clause 61

1. **No Final Approval Until Defects Are Fixed (61.1)**
    - Even after issuing the **Final Payment Certificate (Clause 60.8)**, the contractor **is still responsible** for defects.
    - The work is **only officially accepted** when the **Defects Liability Certificate** is issued.

Clause 62: Defects Liability Certificate & Unfulfilled Obligations

1. **Issuance of Defects Liability Certificate (62.1)**
    - After the **Defects Liability Period** (typically 12 months), the engineer inspects the works.
    - If all defects are fixed, the engineer issues the **Defects Liability Certificate**.
    - Once issued, the employer **no longer holds retention money**, and the contractor's obligations **officially end**.
2. **Unfulfilled Obligations (62.2)**
    - If the contractor **still has unresolved claims** (e.g., pending variations or outstanding payments), they **do not lose their rights** after the certificate is issued.

Where Can Clause 61-62 Be Used? (Example from PWD)

Example: PWD Bridge Project

- A contractor builds a **PWD bridge**, and PWD **issues a Taking-Over Certificate** when work is complete.
- However, during the **Defects Liability Period**, cracks appear in the concrete.
- The contractor **must fix the defects** before PWD releases retention money.
- After all repairs, PWD **issues the Defects Liability Certificate (62.1)**.
- The contractor is **no longer responsible** for the project, but any **pending payment claims (62.2)** remain valid.

Clause 62: Defects Liability Certificate

Simplified Explanation

Clause 62 of the **FIDIC 1987 (4th Edition)** contract deals with the **Defects Liability Certificate**, which is issued after the contractor has fixed all defects identified during the **Defects Liability Period**. Once this certificate is issued, the contractor's main responsibilities under the contract are considered **fulfilled**, except for any outstanding obligations.

Key Sub-Clauses:

1. **62.1 Defects Liability Certificate:**
   - The **Engineer** issues this certificate once all defects, repairs, and outstanding work (as per the contract) are completed.
   - This marks the **end of the contractor's liability** for defects, except for any obligations that remain unfulfilled.
2. **62.2 Unfulfilled Obligations:**
   - If some obligations remain (e.g., warranties or long-term maintenance), the contractor **still has to complete them**, even after the Defects Liability Certificate is issued.

Where Can It Be Used?

This clause is mainly used **at the end of a construction project**, once all defect-related work has been completed. It ensures that:

- The contractor is **officially released** from responsibility for the completed works.
- The employer (government agency, private client, etc.) is satisfied that the contractor has fixed **all defects**.
- Final payments and **contract closure** can proceed.

Example from PWD (Public Works Department)

Scenario: Road Construction Project

The PWD hires a contractor to construct a **5 km road** under FIDIC conditions. The road is completed, and the **Defects Liability Period** is set for **12 months**.

1. **During this period**, PWD inspects the road and finds minor cracks and drainage issues.
2. The contractor **repairs all defects** within the given timeframe.
3. Once PWD is **satisfied**, the Engineer issues the **Defects Liability Certificate** (Clause 62.1).
4. This certificate means the contractor is now **formally released** from further obligations, except for any warranties or guarantees still in effect (Clause 62.2).
5. The PWD **processes the contractor's final payment** and closes the contract.

Conclusion

Clause 62 is essential for **contract closure** after defects are fixed. It provides legal assurance to both the employer (e.g., PWD) and the contractor, ensuring the **final acceptance of the project** and allowing the contractor to move on to new work without future liabilities.

Clause 63: Default of Contractor

Simplified Explanation

This clause explains what happens if the **contractor fails to meet their obligations** under the contract. If the contractor defaults, the employer has the right to **terminate the contract** and take necessary actions to complete the work.

Key Sub-Clauses:

1. **63.1 Default of Contractor:**
   - The employer can terminate the contract if the contractor:
     - Fails to **complete the work** on time.
     - **Abandons the project** or refuses to work.
     - **Fails to follow contract instructions** given by the Engineer.
     - **Becomes bankrupt** or insolvent.
2. **63.2 Valuation at Date of Termination:**
   - After termination, the employer will calculate the value of the work already completed.
   - The contractor will only be paid for the **work done** up to the termination date.
3. **63.3 Payment after Termination:**
   - If the employer has to spend extra money to **complete the work** with a new contractor, the original contractor may be asked to **pay the difference**.
   - If the cost is lower, the original contractor **may be paid** the remaining balance.
4. **63.4 Assignment of Benefit of Agreement:**
   - If the contract is terminated, the employer may **take over** subcontractors or material supply agreements made by the original contractor.

Where Can It Be Used?

Clause 63 is used when a **contractor fails to perform** and the employer (e.g., PWD) needs to remove them and complete the project.

Example from PWD (Public Works Department)

Scenario: Construction of a Government Building

PWD hires a contractor to build a **government office** under a FIDIC contract.

1. The contractor **abandons work** after 50% completion and refuses to continue.
2. PWD issues **warnings** but the contractor does not respond.
3. After following contract procedures, PWD **terminates the contract** under Clause 63.1.
4. PWD hires **a new contractor** to complete the remaining work.
5. The engineer calculates:
   - The value of **completed work** by the original contractor (Clause 63.2).
   - The cost of hiring the **new contractor** (Clause 63.3).
6. If the new contractor's cost is higher, PWD may **recover the extra amount** from the original contractor.

Conclusion

Clause 63 protects the **employer (e.g., PWD)** if the contractor **fails to perform**. It ensures that projects **can be completed** even if a contractor defaults and allows the employer to **recover additional costs** if needed.

Clause 64: Urgent Remedial Work

Simplified Explanation

This clause allows the **employer (PWD or other authority)** to take immediate action if there is **urgent work needed** due to the contractor's failure. If the contractor does not fix the issue, the employer can **hire another contractor** or do the work themselves, and the cost will be deducted from the original contractor's payment.

Key Points:

1. **64.1 Urgent Remedial Work:**
    - If the contractor **fails to carry out urgent repairs or safety work**, the employer can:
        - Direct the **Engineer** to arrange the work immediately.
        - Hire a **third party** to complete the urgent work.
    - The employer can **recover the cost** from the contractor.

Where Can It Be Used?

Clause 64 is used when **safety, public welfare, or project stability** is at risk, and the contractor does not act quickly.

Example from PWD (Public Works Department)

Scenario: Bridge Repair Project

PWD hires a contractor to **repair a damaged bridge**. During the work:

1. **Heavy rain damages part of the bridge**, making it dangerous for public use.
2. The **PWD Engineer orders immediate repairs**, but the contractor **fails to act**.
3. PWD **hires another contractor** to fix the issue immediately.
4. The cost of this urgent repair is **deducted** from the original contractor's payment.

Conclusion

Clause 64 ensures that **urgent work** is **not delayed**, especially if it affects **public safety or project stability**. The employer has the right to **act quickly** and **recover costs** from the contractor if necessary.

Clause 65: Special Risks

Simplified Explanation

This clause deals with **uncontrollable events** (e.g., war, natural disasters) that can affect the project. If such an event occurs, the contractor **is not held responsible** for delays or damage caused by these special risks. The employer may need to compensate the contractor for additional costs.

Key Sub-Clauses:

1. **65.1 No Liability for Special Risks:**
   - The contractor is **not responsible** for delays, damage, or losses caused by special risks.
   - The employer must **pay for extra costs** if the contractor is affected.
2. **65.2 Special Risks Defined:**
   - These risks include:
     - **War, invasion, rebellion, civil war**
     - **Nuclear radiation or explosions**
     - **Riots or public disorder (if not caused by the contractor's workers)**
     - **Natural disasters (earthquakes, floods, storms, etc.)**
3. **65.3 Damage to Works by Special Risks:**
   - If special risks **damage the project**, the contractor must repair it **only if instructed by the employer**.
   - The **cost of repairs will be added to the contract price**.
4. **65.4 Projectile, Missile Damage:**
   - If the site is damaged due to **war-related events** (e.g., bombings, missile attacks), the employer will bear the cost.
5. **65.5 Increased Costs Due to Special Risks:**
   - If the contractor's costs **increase** due to special risks, the employer must **pay for the extra expenses**.
6. **65.6 Outbreak of War:**
   - If war breaks out in the project's country, the contract can be **terminated**.
   - The contractor will be paid for the work already done.
7. **65.7 Removal of Contractor's Equipment on Termination:**
   - If the contract is terminated due to special risks, the contractor has the right to **remove their equipment** from the site.
8. **65.8 Payment if Contract is Terminated:**
   - If the contract is terminated due to war or other special risks, the employer must:
     - Pay the contractor for **completed work**.
     - Compensate for **materials already ordered**.
     - Cover the cost of **demobilization (removing workers and equipment from the site)**.

Where Can It Be Used?

Clause 65 is used when a **project is affected by war, natural disasters, or political instability**. It protects both the employer and the contractor by ensuring:

- The **contractor is not unfairly penalized** for events beyond their control.
- The employer **bears the cost** of special risks if they occur.

Example from PWD (Public Works Department)

Scenario: Road Construction in a Flood-Prone Area

PWD hires a contractor to construct a **highway**. During construction:

1. A **massive flood** destroys part of the road and materials.
2. Since the flood is a **special risk**, the contractor **is not responsible** for the damage.
3. PWD **instructs the contractor** to repair the damage.
4. The cost of repairs is **added to the contract price**, and PWD pays for it.

If the flood was too severe and the project could not continue, PWD could **terminate the contract**, and the contractor would be **paid for work already done**.

Conclusion

Clause 65 protects the contractor from **unpredictable risks** like **war, riots, and natural disasters**. It ensures the employer **pays for additional costs** caused by these events and allows **contract termination if necessary**.

Clause 66: Release from Performance

Simplified Explanation

This clause applies when a **major event beyond the control of both parties** (contractor and employer) makes it **impossible to continue the contract**. If this happens, the contractor is **released from their obligations**, and the employer must **pay for work done** before the contract ends.

Key Sub-Clause:

1. **66.1 Payment in Event of Release from Performance:**
    - If an event (e.g., war, extreme disaster) makes the contract **impossible to perform**, the contract is **automatically terminated**.
    - The employer must:
        - Pay for all **completed work**.
        - Compensate the contractor for **materials ordered**.
        - Cover the cost of **removing equipment and workers** from the site.

Where Can It Be Used?

Clause 66 is used when a **project cannot continue due to extreme and unavoidable events**, such as:

- **War or political conflict** leading to unsafe conditions.
- **Natural disasters** (e.g., earthquakes, hurricanes) destroying the site.
- **Government orders** stopping all work permanently.

Example from PWD (Public Works Department)

Scenario: Construction of a Dam Affected by War

PWD hires a contractor to build a **dam**. During construction:

1. A **civil war** breaks out, making it **too dangerous** to continue.
2. The project is **abandoned for safety reasons**.
3. Under Clause 66.1, the contract is **terminated automatically**.
4. PWD must:
    - Pay the contractor for **work already done**.
    - Cover costs of **materials purchased**.
    - Allow the contractor to **remove their equipment**.

Conclusion

Clause 66 provides **a legal way to end the contract** if performance is **impossible due to extreme events**. It ensures the contractor **is fairly compensated**, and both parties can move forward without penalties.

Clause 67: Settlement of Disputes

Simplified Explanation

This clause explains how **disputes between the employer and contractor** should be resolved. It includes three stages:

1. **Engineer's Decision** – The Engineer first tries to resolve the dispute.
2. **Amicable Settlement** – If the parties disagree, they must attempt negotiation.
3. **Arbitration** – If no agreement is reached, the dispute goes to arbitration.

Key Sub-Clauses:

1. **67.1 Engineer's Decision:**
    - If a dispute arises, either party (employer or contractor) must **refer it to the Engineer**.
    - The Engineer **must decide within 84 days**.
    - The parties must **comply with the Engineer's decision** unless they disagree and issue a notice of dissatisfaction within **70 days**.
2. **67.2 Amicable Settlement:**
    - If either party is dissatisfied with the Engineer's decision, they must try to **settle the dispute through negotiation**.
    - This negotiation period lasts **56 days**.
    - If no agreement is reached, the dispute moves to arbitration.
3. **67.3 Arbitration:**
    - If amicable settlement fails, the dispute goes to **arbitration** as per the contract.
    - Arbitration is usually conducted under **international rules (e.g., ICC, UNCITRAL, or local arbitration laws)**.
    - The arbitration decision is **final and binding** on both parties.
4. **67.4 Failure to Comply with Engineer's Decision:**
    - If a party **ignores** the Engineer's decision, the other party can **go directly to arbitration**.

Where Can It Be Used?

Clause 67 is used when **a serious disagreement occurs** between the employer (e.g., PWD) and the contractor. It ensures disputes are resolved **fairly and in stages**, avoiding immediate legal action.

Example from PWD (Public Works Department)

Scenario: Road Construction Dispute Over Payment

PWD hires a contractor for a **highway project**. Upon completion:

1. The **contractor claims additional payment** due to unexpected soil conditions.
2. PWD **rejects** the claim, stating the contractor should have foreseen the issue.
3. The contractor refers the dispute to the **Engineer (Clause 67.1)**.
4. The **Engineer decides** the contractor should receive **partial compensation**.
5. The contractor **disagrees** and issues a **notice of dissatisfaction** within **70 days**.
6. PWD and the contractor attempt **amicable settlement (Clause 67.2)** but fail.
7. The dispute goes to **arbitration (Clause 67.3)**, and the arbitrator gives a final ruling.

Conclusion

Clause 67 provides a **structured method** for resolving disputes **without immediate legal action**. It ensures that:

Clause 68: Notices

Simplified Explanation

This clause explains **how official communications (notices) should be given** between the employer, contractor, and engineer. It ensures that all important instructions, approvals, and disagreements are properly documented and communicated in writing.

Key Sub-Clauses:

1. **68.1 Notice to Contractor:**
   - The employer (e.g., PWD) or the engineer must send any official notices **in writing** to the contractor.
   - Notices must be sent to the **contractor's registered address or site office**.
2. **68.2 Notice to Employer and Engineer:**
   - The contractor must send all official notices to the **employer and engineer** in writing.
   - The address for sending notices is **specified in the contract**.
3. **68.3 Change of Address:**
   - If any party (contractor, employer, or engineer) **changes their address**, they must notify the other parties **in writing**.

Where Can It Be Used?

Clause 68 is used in **all stages of the project** to ensure **clear communication and record-keeping**. It is especially important for:

- **Submitting claims** for extra costs or delays.
- **Sending instructions or approvals** related to work.
- **Giving warnings or termination notices** in case of contractor default.

Example from PWD (Public Works Department)

Scenario: Delay in Receiving Construction Drawings

PWD hires a contractor for a **bridge construction project**. The contractor is waiting for **detailed design drawings** from the engineer.

1. The contractor does not receive the drawings on time and worries about **project delays**.
2. The contractor **sends an official notice (Clause 68.2)** to the engineer, requesting the drawings urgently.
3. The engineer **receives the notice** and provides the drawings.
4. If the engineer **fails to respond**, the contractor can use this notice as proof to **claim an extension of time (Clause 44)** later.

Conclusion

Clause 68 ensures that all **important project communications** are **officially recorded** and **delivered properly**. This helps prevent disputes and ensures that all parties are **properly informed** at all times.

Clause 69: Default of Employer

Simplified Explanation

This clause protects the **contractor** in case the **employer (e.g., PWD) fails to meet their obligations**. If the employer **does not pay** or **obstructs the work**, the contractor has the right to **stop work or terminate the contract**.

Key Sub-Clauses:

1. **69.1 Default of Employer:**
    - The contractor can take action if the employer:
        - **Fails to pay** the contractor within the agreed time (as per Clause 60).
        - **Interferes with the contractor's work** without justification.
        - **Becomes bankrupt or insolvent**.
        - **Fails to meet key contract obligations**.
2. **69.2 Removal of Contractor's Equipment:**
    - If the contract is **terminated**, the contractor has the right to:
        - **Remove their equipment and materials** from the site.
        - **Leave the project without penalties**.

3. **69.3 Payment on Termination:**
    - If the contractor terminates the contract due to **employer default**, the employer must:
        - Pay for all **work already done**.
        - Compensate the contractor for **losses and demobilization costs**.
4. **69.4 Contractor's Entitlement to Suspend Work:**
    - If the employer **fails to pay**, the contractor has the right to **stop work** after giving proper notice.
    - The contractor **must notify** the employer before suspending work.
5. **69.5 Resumption of Work:**
    - If the employer **fixes the issue** (e.g., makes the payment), the contractor must **resume work** as soon as possible.

Where Can It Be Used?

Clause 69 is used when the **employer does not fulfill their financial or contractual obligations**. It protects the contractor and ensures they **do not suffer financial loss** due to employer failures.

Example from PWD (Public Works Department)

Scenario: Government Delays Payment to a Road Contractor

PWD hires a contractor to **build a highway**. After six months of work:

1. The contractor submits a **payment request (Clause 60)**, but PWD **does not pay** within the agreed time.
2. The contractor **sends a notice (Clause 68)** to request payment.
3. After waiting, **no payment is received**, and the contractor **suspends work (Clause 69.4)**.
4. PWD **still does not pay**, so the contractor **terminates the contract (Clause 69.1)**.
5. The contractor **removes their equipment (Clause 69.2)** and requests compensation for the losses.
6. PWD is legally required to **pay for completed work and damages (Clause 69.3)**.

Conclusion

Clause 69 ensures that the **contractor is protected** if the employer **fails to pay or fulfill their obligations**. It allows the contractor to **stop work** or **terminate the contract** if necessary, while still being **paid for completed work**.

Clause 70: Changes in Cost and Legislation

Simplified Explanation

This clause deals with situations where the **cost of construction changes** due to:

1. **Inflation, currency fluctuations, or material price increases**.
2. **New laws or government regulations** that affect the project.

If costs increase or decrease because of these factors, the **contract price is adjusted** accordingly.

Key Sub-Clauses:

1. **70.1 Increase or Decrease of Cost:**
   - If the cost of **labor, materials, or equipment** changes due to inflation or market fluctuations, the contract price is adjusted.
   - The adjustment is based on **price indices** or formulas stated in the contract.
2. **70.2 Subsequent Legislation:**
   - If new **laws, taxes, or regulations** increase the contractor's costs, the contract price is **adjusted to cover the extra expense**.
   - If new laws **reduce costs**, the contract price is adjusted **downward**.

Where Can It Be Used?

Clause 70 is useful in **long-term projects** where **inflation, currency changes, or new government laws** can affect costs.

Example from PWD (Public Works Department)

Scenario: Cement Prices Increase During a Bridge Project

PWD hires a contractor to **build a bridge**. The contract allows price adjustments under **Clause 70**.

1. Due to **global supply chain issues**, the price of **cement increases by 20%**.
2. The contractor **submits a claim** for cost adjustment under **Clause 70.1**.
3. PWD **reviews price indices** and agrees to **increase the contract price**.

Scenario 2: New Environmental Tax on Diesel

1. The government introduces a **new tax on diesel fuel**, increasing the contractor's transportation costs.
2. The contractor **submits a claim** under **Clause 70.2** for compensation.
3. PWD **reviews the claim** and **adjusts the contract price** to cover the additional cost.

Conclusion

Clause 70 ensures that contractors are **fairly compensated** if costs increase due to **inflation, price fluctuations, or new laws**. It also ensures that the employer **benefits from cost reductions** if prices decrease.